

29-2 The Federal Reserve System

Whenever an economy uses a system of fiat money, as the U.S. economy does, some agency must be responsible for regulating the system. In the United States, that agency is the [**Federal Reserve \(the central bank of the United States\)**](#) , often simply called the **Fed**. If you look at the top of a dollar bill, you will see that it is called a “Federal Reserve Note.” The Fed is an example of a [**central bank \(an institution designed to oversee the banking system and regulate the quantity of money in the economy\)**](#) —an institution designed to oversee the banking system and regulate the quantity of money. Other major central banks around the world include the Bank of England, the Bank of Japan, and the European Central Bank.